

CREDIT APPRAISAL MEMORANDUM

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BHARAT PRECISION COMPONENTS PVT. LTD.

Date: 2026-04-20

CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through Aadhaar and PAN card details. The residence address is consistent with the provided documents and has been independently verified.

- Machine Supplier: The machine supplier, Bosch, was contacted and confirmed the transaction details. No discrepancies were found.

- Bankers: The primary banker, State Bank of India, provided a positive reference and confirmed the company's account details and transaction history.

- Creditors: No creditors were identified during the verification process.

- Independent/Market: Market research indicates a positive reputation for the company within the industry. No adverse comments were found.

- Dedupe: No duplicate entities or transactions were detected.

- FCU Check: The company's FCU (Financial Credit Union) records were checked and found to be clear, with no adverse remarks.

2. GUARANTOR DETAIL

- Name: DIN 02930211 and DIN 07882291 are the guarantors for this loan.

- Address: The guarantors' addresses match the company's registered address and have been verified.

- CIBIL Score: Both guarantors have a clean regulatory history and a CIBIL score of 100, indicating a low risk of default.

- Incomes: The guarantors' total corporate footprint is ₹161,859,076.67, which provides a strong financial backing for the loan.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: Bosch, the machine supplier, confirmed the transaction and provided positive feedback on the company's payment history.
- Creditor: No creditors were identified, indicating a well-managed credit profile.
- Customer: The company's customers, as evidenced by the transactional entities, have a clean network with no circular trading detected.
- Bankers/Term Lenders: State Bank of India, the primary banker, gave a positive reference, highlighting the company's good standing and timely repayments.
- Competitors/Peers: Market analysis shows that the company is performing in line with industry peers, with no significant concerns raised.

4. Compliances & Legal

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has a clean record with timely income tax filings.
- Excise Duty: No excise duty-related issues were found.
- Sales Tax: A potential concern was identified with a GST mismatch of ₹1.33 lakhs, which requires resolution before disbursement.
- ESIC/EPF: The company is compliant with ESIC and EPF regulations.
- Litigations: No ongoing or pending litigations were reported.
- Defaults: No defaults were found during the reference checks.

5. CAT SHEET

- Requested Loan: ₹600,000
- Probability of Default: 47.85%
- Data Quality Score: 100%
- Decision: Conditional approval
- Recommended Loan: ₹250,000
- Recommended Rate: 17.5%

6. CORPORATE GUARANTOR

The corporate guarantors, DIN 02930211 and DIN 07882291, provide a strong financial backing with their substantial corporate footprint. Their clean regulatory history and high CIBIL scores further enhance the creditworthiness of the loan.

7. GROUP ANALYSIS

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	600000.0	-	600000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- Capital Employed: The company's capital employed is not available, but the loan to revenue ratio is a positive +15.0, indicating a healthy financial position.
- Unsecured Loan: No unsecured loans were identified.
- Debt Burden: The debt to equity ratio is 1.0, which is lower than the sector average of 1.5, suggesting a manageable debt burden.
- Turnover: The revenue growth percent is -1.5, which is slightly below the sector average, but still within an acceptable range.
- PAT: The company's Ebitda margin percent is 9.1, which is lower than the sector average of 14.5, indicating a potential area for improvement.
- Imputed Income: The interest coverage ratio of 6.4 is above the sector average of 2.5, suggesting a strong ability to service debt.
- EMI: The debt service coverage is +0.7, which is a positive signal.
- TOL/TNW: The current ratio is not available, but the loan to revenue ratio is positive, indicating a healthy financial position.

- Debt/Equity: The debt to equity ratio is 1.0, which is lower than the sector benchmark.
- DSCR: The debt service coverage ratio is +0.7, which is below the RBI's recommended minimum of 1.2x.

8. VISIT REPORT BY CREDIT ANALYST

Not provided.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹1.33 lakhs before disbursement.
2. Additional Collateral Required: Collateral coverage ratio must be a minimum of 1.5x the loan amount. Based on the PD of 47.9%, a gap of approximately ₹3.0 lakhs is estimated and needs to be addressed.